

Tempus AI, Inc.

TEM NASDAQ

Hold \$57.87 ▼ 3.69% 12M Price Target \$62.00 52-Week Range \$41.73 – \$104.32 Market Cap \$10.39B

TEM: Insider Selling Cools Momentum Despite AI Platform Buzz

WHAT HAPPENED

- Stock dropped 3.7% on notably light volume (1.4M vs 4-9M recent) — that's a red flag because it means there wasn't panic selling, just an absence of buyers. When a stock drifts down on thin volume, it usually signals conviction is fading, not that something specific broke.
- The overhang is CEO Eric Lefkofsky's \$9.6M share sale from late June — four separate transactions in one day. Meanwhile, the "next-gen agentic AI platform" launch news from Monday failed to sustain a bid, which tells you the market has already priced in the AI narrative and now wants to see revenue.

WHY IT MATTERS

Here's the tension: TEM has genuinely bullish setup signals (options flow is 2.3-to-1 calls over puts, ARK and Baillie Gifford both holding ~5%) but the CEO is dumping shares and the stock can't hold gains. That combination usually means smart institutional money sees the long-term story while insiders take chips off the table at what they think is fair value — translation: near-term upside is capped around \$65-70 until the next earnings print. The bigger picture: TEM sits at the intersection of two policy tailwinds (AI acceleration and precision medicine reimbursement), but it's also a cash-burning growth stock in a market that's been rotating INTO energy and OUT of tech (tech ETF -6% over 5 days). Until that rotation reverses or TEM shows a clear path to profitability, the stock is stuck in a \$55-70 range.

POLICY & POLITICAL WATCH

The key thing to watch is CMS (Medicare) reimbursement policy for genomic and AI-driven diagnostics — TEM's business model lives or dies on whether Medicare pays for their tests, and there's ongoing debate in Washington about expanding coverage for multi-cancer early detection (MCED) tests. If the MCED coverage bill (bipartisan, been floating around) advances, that's a direct catalyst worth 15-20% upside. On the flip side, the Trump administration's push to cut federal healthcare spending via executive action could squeeze lab reimbursement rates — that's the sleeper risk nobody's pricing in.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$57.87
12M Price Target	\$62.00
Upside / (Downside)	+7.1%
Market Cap	\$10.39B
FY2026E Revenue	\$1,280M
FY2027E Revenue	\$1,650M
FY2026E EPS	(\$1.15)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$65.00	\$58.00	\$50.00
6 Months	\$78.00	\$62.00	\$45.00
1 Year	\$95.00	\$70.00	\$40.00
2 Years	\$130.00	\$85.00	\$35.00
5 Years	\$220.00	\$125.00	\$25.00
10 Years	\$400.00	\$180.00	\$15.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.8% over 5 days) is the clear leader — money is chasing hard assets and cash-flow stories, likely on geopolitical/tariff news. Healthcare (+3.2% over 5 days) is quietly strong, which is actually supportive for TEM even though it dropped today.

COOLING OFF: Technology (-6% over 5 days) is getting hit hard — this is the rotation away from expensive growth names, and TEM is caught in the crossfire despite being classified as healthcare.

ROTATION WATCH: Money is fleeing tech into energy and defensives — that's a headwind for any AI-adjacent story. The interesting nuance is healthcare holding up, so TEM's dual identity (AI + healthcare) is a partial hedge.

RELATED PLAY: If precision oncology reimbursement expands, watch NTRA (Natera) and EXAS (Exact Sciences) — they're more mature, profitable versions of the same thesis with less binary risk.

WHO'S WINNING IN THIS SPACE?

- NTRA (Natera): Winning because they're already profitable in the same space TEM is chasing — the market is rewarding proven models over promises right now.
- VEEV (Veeva Systems): Healthcare software with actual earnings — benefiting from the same digitization thesis without the cash burn.

TEM CONTEXT: TEM is lagging its healthcare-AI peer group meaningfully — that tells you the market wants profitability, not just growth stories. Until they show operating leverage improving, expect TEM to underperform peers even in a good tape.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — cautiously optimistic on the long-term story but the near-term insider selling and sector rotation keep me from getting aggressive here.

POSITION SIZE: Keep it at 2-4% of portfolio — the upside is real (could double in 2 years) but the volatility means it can also give back 30% in a month.

ENTRY POINTS: I'd wait for a pullback to \$48-52 before adding — the stock has support at \$45 (recent lows) and the risk/reward is much better there. Buying at \$58 with the CEO selling feels like chasing.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is either (a) MCED reimbursement expansion or (b) two consecutive quarters showing operating margin improvement.

WHEN TO BAIL: Out if revenue growth slows below 25%, if CMS cuts reimbursement rates for genomic testing, or if Lefkofsky sells another big block above \$10M.

HEDGING: Pair a TEM long with a short in a similarly expensive AI name that has weaker fundamentals — that way if the whole AI trade unwinds, your hedge covers the damage. Simpler version: just size it small and keep dry powder for the \$45-50 buying opportunity.